

are inclined to ascribe to the disappearance of the old-line distinctions between stock investors and stock speculators.

Intercorporate Indebtedness. Current debt to a parent or to an affiliated company is theoretically as serious as any other short-term liability, but in practice it is rarely made the basis of an embarrassing claim for payment.

Example: United Gas Corporation has owed \$26,000,000 on open account to its parent Electric Bond and Share Company since 1930—so that it constantly reports a large excess of current liabilities over current assets. Yet this debt has not prevented it from paying first preferred dividends in 1936–1939. In 1932, however, with somewhat larger earnings than in 1939, it had been compelled to suspend the senior dividend because it had large bank loans in addition to its intercompany debt. The conservative buyer would naturally prefer to see the obligations to affiliates in some form other than a current liability.

The Danger of Early Maturing Funded Debt. A large bond issue coming due in a short time constitutes a critical financial problem when operating results are unfavorable. Investors and speculators should both give serious thought to such a situation when revealed by a balance sheet. Maturing funded debt is a frequent cause of insolvency.

Examples: Fisk Rubber Company was thrown into receivership by its inability to pay off an \$8,000,000 note issue at the end of 1930. The insolvency of Colorado Fuel and Iron Company and of the Chicago, Rock Island and Pacific Railway Company in 1933 were both closely related to the fact that large bond issues fell due in 1934. The heedlessness of speculators is well shown by the price of \$54 established for Colorado Fuel and Iron Preferred in June 1933, when its short-term bond issue (Colorado Industrial Company 5s, due 1934, guaranteed by the parent company) was selling at 45, *an indicated yield of well over 100% per annum*. This price for the bonds was an almost certain sign of trouble ahead. Failure to meet the maturity would in all likelihood mean insolvency (for a voluntary extension could by no means be counted upon) and the danger of complete extinction of the stock issues. It was typical of the speculator to ignore so obvious a hazard and typical also that he suffered a large loss for his carelessness. (Two months later, on announcement of the receivership, the price of the preferred stock dropped to 17¹/₄.)